

Pondy Oxides and Chemicals Limited (POCL)

Metals & Recycling · 17th October 2025

Target	—
CMP	INR 1,371.9
Upside	—

POCL is delivering record quarterly and half-yearly financials driven by capacity expansion and volume growth across Lead and Copper, with a clear roadmap to significantly enhance profitability and value-added product mix by 2030.

Pondy Oxides and Chemicals Limited (POCL) is India's leading secondary metal recycling company with over 30 years of experience, engaged in recycling of Lead, Copper, Aluminium, and Plastics. The company operates four state-of-the-art recycling plants strategically located near ports in Tamil Nadu and Andhra Pradesh, with a combined finished goods capacity of 1,95,000 MTPA. POCL is India's first 3N7 LME-registered Lead brand and exports to 20+ countries, with 64% of Lead sales going to export markets. The company is pursuing its Target 2030 vision, targeting 20%+ revenue CAGR, 8%+ EBITDA margins, and 20%+ ROCE.

RESULT HIGHLIGHTS

- Q2FY26 standalone revenue at Rs. 6,345 Mn, up 11% YoY (Q2FY25: Rs. 5,724 Mn); H1FY26 revenue at Rs. 12,307 Mn, up 22% YoY.
- Q2FY26 EBITDA at Rs. 551 Mn, up 84% YoY; EBITDA margin expanded to 8.7% vs. 5.2% in Q2FY25.
- Q2FY26 PAT at Rs. 356 Mn, up 105% YoY; PAT margin improved to 5.6% vs. 3.0% in Q2FY25.
- H1FY26 EBITDA at Rs. 981 Mn, up 83% YoY; H1FY26 PAT at Rs. 631 Mn, up 98% YoY.
- Highest-ever quarterly and half-yearly Revenue, EBITDA, PAT, and margins achieved in Q2 & H1FY26.
- Lead production in Q2FY26: 26,308 MT; Lead sales: 24,878 MT. H1FY26 Lead production: 50,475 MT (+33% YoY); Lead sales: 47,408 MT (+3% YoY).
- Lead EBITDA per ton improved to Rs. 19,970/MT in Q2FY26 vs. Rs. 12,304/MT in Q2FY25; H1FY26 at Rs. 18,510/MT vs. Rs. 12,487/MT.
- Phase 1 of TKD Lead capacity expansion (36,000 MTPA) successfully commissioned in April 2025; Phase 2 (36,000 MTPA) expected in H2FY26.
- Capex of Rs. 14 Cr done in H1FY26; estimated capex for H2FY26 is Rs. 35 Cr.
- Net cash position healthy; net debt reduced significantly over FY21–FY25 (Net Debt/Equity: 0.11x in FY25 vs. 0.90x in FY21).

COMPANY DATA

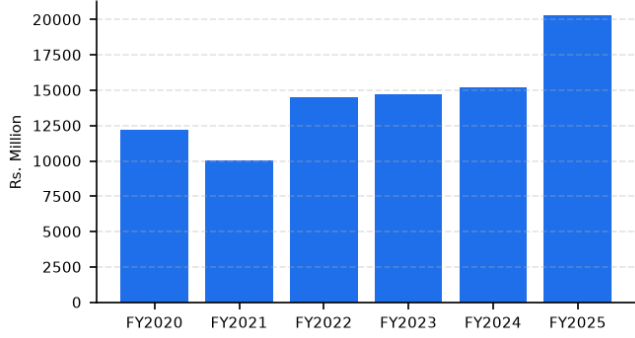
NSE Symbol	POCL
BSE Scrip Code	532626
Market Cap (NSE)	INR 4,127.63 Cr.
Market Cap (BSE)	INR 4,121.16 Cr.
Market Price (15-Oct-25, NSE)	INR 1,371.9
Market Price (15-Oct-25, BSE)	INR 1,369.75
52-Week High	INR 1,360
52-Week Low	INR 490 (NSE) / INR 493 (BSE)
Face Value	NA
Outstanding Shares	3,05,11,279
Promoter Holding	39.34%
Public Float	60.66%
CRISIL Rating	A/Stable
Net Worth (Sep'25)	INR 6,953 Mn
Net Debt/Equity (FY25)	0.11x

Shareholding Pattern as on 30th Sep 2025	No. of Shares	% of Holding
Promoters	1,20,04,000	39.34%
Public	1,85,07,279	60.66%
Total	3,05,11,279	100%

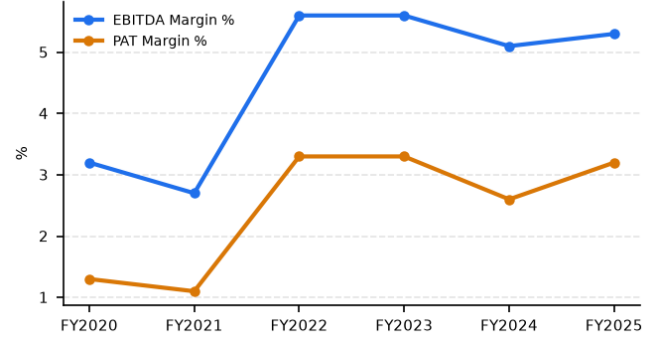
Price Performance	52W High	52W Low	Market Price (15-Oct-25)
NSE	INR 1,360	INR 490	INR 1,371.9
BSE	INR 1,360	INR 493	INR 1,369.75

CHARTS

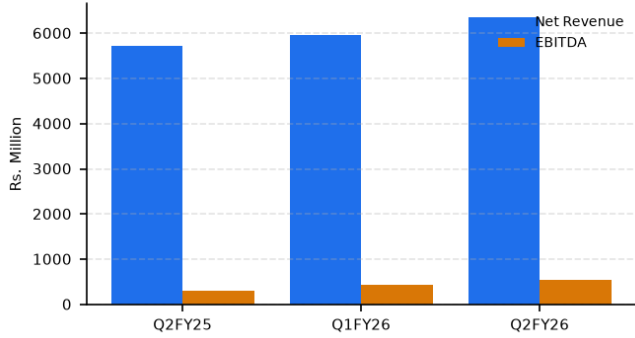
Annual Revenue from Operations (Rs. Mn)



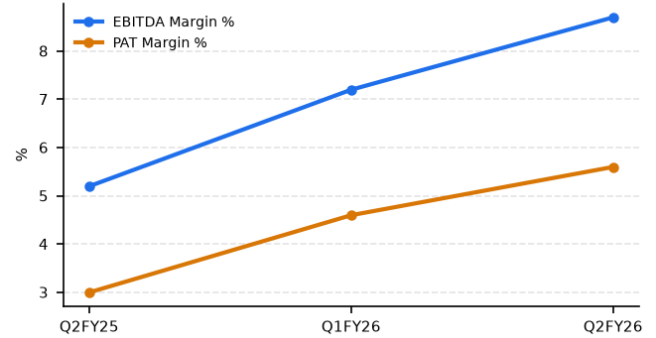
EBITDA & PAT Margins - Annual (%)



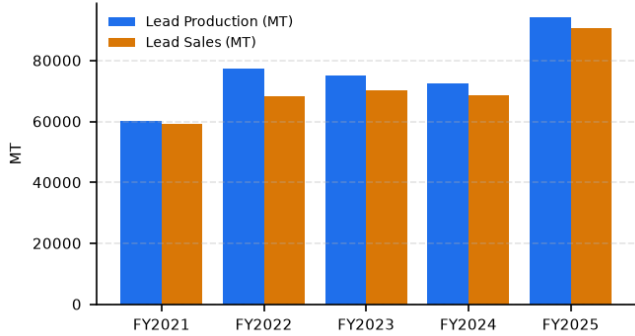
Quarterly Revenue & EBITDA (Rs. Mn)



Quarterly EBITDA & PAT Margins (%)



Lead Production & Sales (MT) - Annual



KEY HIGHLIGHTS

- Target 2030 vision targets 20%+ revenue CAGR, 8%+ EBITDA margins, 20%+ ROCE, 15%+ volume growth, and 60%+ revenue from value-added products.
- Post Phase 2 commissioning, total Lead capacity will reach 2,04,000 MTPA, significantly enhancing volume and revenue potential.
- Mundra, Gujarat greenfield site (123 acres acquired) provides long-term expansion optionality for Lead and new verticals.
- Favorable regulatory tailwinds: GST Reverse Charge Mechanism on metal scrap and EPR compliance requirements for battery producers drive domestic scrap availability and pricing power for recyclers.
- Diversification into Lithium-Ion recycling (feasibility stage) and forward integration plans provide future growth levers beyond the core Lead business.
- 5-year revenue CAGR of 11%, EBITDA CAGR of 22%, and PAT CAGR of 32% demonstrate consistent compounding; margins are now at multi-year highs.
- Strong balance sheet: Net Worth of Rs. 6,953 Mn as of Sep'25; Net Debt/Equity at 0.11x (FY25); CRISIL A/Stable external rating.
- Key risks include volatility in global Lead/Copper scrap prices, currency fluctuations (86% of Lead procurement is imported), and execution risk on capacity expansion timelines.
- Promoter holding at 39.34% as of Sep'25; public float at 60.66%, providing good liquidity on NSE and BSE.

FINANCIALS

Profit & Loss – Quarterly & Half-Yearly (Rs. Million)	Q2FY25	Q1FY26	Q2FY26	H1FY25	H1FY26
Net Revenue	5,724	5,962	6,345	10,092	12,307
Other Income	10	18	15	21	35
Total Income	5,734	5,979	6,361	10,113	12,340
COGS	5,179	5,263	5,431	9,087	10,694
Employee Benefit Expenses	56	73	87	117	160
Other Expenses	200	213	292	373	505
Total Expenses	5,435	5,549	5,810	9,576	11,359
EBITDA	300	431	551	537	981
EBITDA Margin %	5.2%	7.2%	8.7%	5.3%	8.0%
Depreciation	27	35	58	49	93
Finance Cost	39	30	13	62	43
PBT	233	366	479	426	845
Tax Expenses	59	91	123	107	214
PAT	174	276	356	319	631
PAT Margin %	3.0%	4.6%	5.6%	3.2%	5.1%
EPS – Diluted (Rs.)	6.47	9.54	11.66	11.93	20.69

Profit & Loss – Annual Trends (Rs. Million)	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025
Net Revenue	12,199	10,043	14,548	14,717	15,238	20,283
Other Income	35	33	46	43	46	37
Total Income	12,234	10,076	14,594	14,759	15,284	20,319
COGS	11,289	9,323	12,954	12,987	13,538	18,191
Gross Profit	945	753	1,641	1,772	1,745	2,128
Gross Profit Margin %	7.5%	7.5%	11.3%	12.0%	11.5%	10.5%
Employee Benefit Expenses	191	165	200	223	242	253
Other Expenses	364	321	623	723	731	799
Total Expenses	11,844	9,809	13,777	13,933	14,511	19,244
EBITDA	390	267	818	827	772	1,076
EBITDA Margin %	3.2%	2.7%	5.6%	5.6%	5.1%	5.3%
Depreciation	79	84	90	101	92	112
Finance Cost	99	45	84	68	164	116
PBT	212	138	643	658	516	847
Tax Expenses	49	30	161	166	121	197
PAT	163	108	482	492	395	651
PAT Margin %	1.3%	1.1%	3.3%	3.3%	2.6%	3.2%

Balance Sheet – Standalone (Rs. Million)	31-Mar-2025	30-Sep-2025
Share Capital	141	153
Reserves and Surplus	5,835	6,801
Net Worth	5,975	6,953
Long Term Borrowings	30	30
Deferred Tax Liabilities	48	46
Other Long Term Liabilities	0	0
Long Term Provisions	10	10
Total Non-Current Liabilities	41	40

Balance Sheet – Standalone (Rs. Million)	31-Mar-2025	30-Sep-2025
Trade Payables	201	151
Short Term Borrowings	100	131
Other Current and Financial Liabilities	56	198
Short Term Provisions	38	80
Total Current Liabilities	1,297	748
Total Equity and Liabilities	7,313	7,741
Property, Plant & Equipment	1,189	1,883
Capital Work-In-Progress	74	71
Goodwill	97	97
Non Current Investments	400	444
Intangible Assets	11	12
Other Financial and Non-Current Assets	121	111
Deferred Tax Assets	46	48
Total Non Current Assets	2,612	2,704
Inventories	2,322	1,725
Trade Receivables	1,268	1,627
Other Financial Assets	105	188
Other Current Assets	608	436
Cash and Bank Balances	397	1,061
Total Current Assets	4,701	5,037
Total Assets	7,313	7,741

Balance Sheet – Annual Trends (Rs. Million)	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025
Share Capital	58	58	58	116	126	141
Reserve and Surplus	1,446	1,555	2,023	2,425	3,422	5,835
Net Worth	1,504	1,613	2,081	2,541	3,548	5,975
Borrowings	513	1,455	1,072	1,420	945	1,031
Other Liabilities	175	123	148	379	205	307
Total Equity and Liabilities	2,192	3,191	3,301	4,341	4,698	7,313
Fixed Assets	606	536	605	959	1,136	1,189
Capital Work-In-Progress	19	57	35	70	83	74
Other Non-Current Assets	382	837	484	746	607	677
Inventories	705	1,236	1,460	1,510	1,239	2,322
Trade Receivables	574	1,088	873	992	1,012	1,267
Cash and Bank Balances	9	4	9	22	29	8
Other Financial Assets	17	6	10	5	17	6
Other Current Assets	157	238	268	332	247	608
Total Assets	2,192	3,191	3,301	4,341	4,698	7,313

Key Operational Metrics	FY2021	FY2022	FY2023	FY2024	FY2025
Lead Production (MT)	60,283	77,282	75,078	72,531	94,115
Lead Sales (MT)	59,131	68,322	70,338	68,554	90,565
Return on Equity (%)	7%	23%	19%	11%	11%
Net Debt (Rs. Mn)	1,447	1,049	1,418	646	634
Net Debt to Equity (x)	0.90	0.50	0.56	0.18	0.11
Interest Coverage Ratio (x)	4.05	8.62	10.61	4.16	8.28
Net Working Capital Days	35	34	37	33	32

Key Operational Metrics	FY2021	FY2022	FY2023	FY2024	FY2025
Exports (% of Revenue)	50%	54%	57%	56%	66%

This report is based solely on the Investor Presentation for Q2 & H1FY26 published by Pondy Oxides and Chemicals Limited on 17th October 2025. It is prepared for informational purposes only and does not constitute an offer, solicitation, or investment advice. Investors should conduct their own due diligence before making any investment decisions. Past performance is not indicative of future results.